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Primary Auction Note – November 2021

The Central Bank is looking to raise **KES 50.0Bn** for budgetary support by issuing a new 5-year bond **FXD1/2021/5** whose coupon rate will be **market determined.** Similarly, the bank is reopening **FXD1/2019/20** with an effective tenure of 17.5 years and a coupon rate of **12.87%**.

Increased money market liquidity: In the past weeks, liquidity in the money markets has eased supported by government payments and a conservative open market operations by CBK. In FY2021/22, the government's appetite for debt remains elevated due to its high expenditure needs while revenue collections are expected to fall below target.

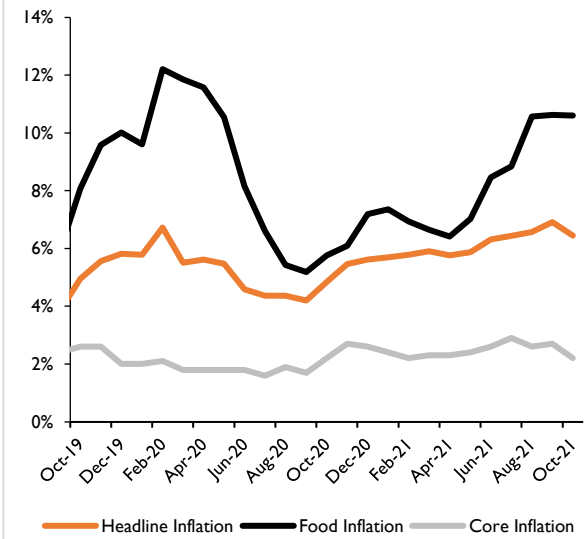
We expect the shorter dated paper, FXD1/2021/5, to attract the highest interest as investors seek to reduce duration. Due to the increased liquidity in the money market, the bonds are likely to be oversubscribed. However, we foresee the government rejecting expensive bids as it is currently **24.07%** ahead of its prorated borrowing target having a net borrowing position of **KES 282.80Bn** in FY2021/22.

Recent high acceptance levels on bond application coupled with expected low bid volume shows an **aggressive tone** should be adopted in application. We advise investors to bid within the range of 11.10% -11.35% for the **FXD1/2021/5,** and 13.30% - 13.49% for the **FXD1/2019/20**

Secondary Bond Market:

During the month, the secondary market activity reduced with the turnover decreasing by **46.75%** to **KES 61.10Bn ($681.27Mn)** from **KES 114.74Bn ($1,043.13Mn)** witnessed in September

October Inflation:



In October, Headline inflation decreased to **6.45%** from **6.91%** in September. Meanwhile, the CPI increased by **0.42%** from **116.08** in September to **116.57** in October.

Food and beverage index increased by **1.11%** due to the increase in prices of select food items.

We expect an increase in headline inflation on the back of higher food and fuel prices. Fuel prices are expected to edge higher due to the increase in global economic activity which has exerted upward pressure on global oil demand.

November 8th , 2021

RECOMMENDATIONS:

FXD1/2021/5

Bid: 11.10% - 11.35%

FXD1/2019/20

Bid: 13.30% -13.49%

Period of Sale: 25/10/2021 to 09/11/2021

Sovereign Credit Rating:

Moody's: B2 (negative)
Fitch: B+ (negative)
S&P: B (stable)

CPI: (2019=100):
116.67

October Inflation: 6.45%

Interbank rate (5th Oct 2021): 4.48%

C.B.R (September 2021): 7.00%

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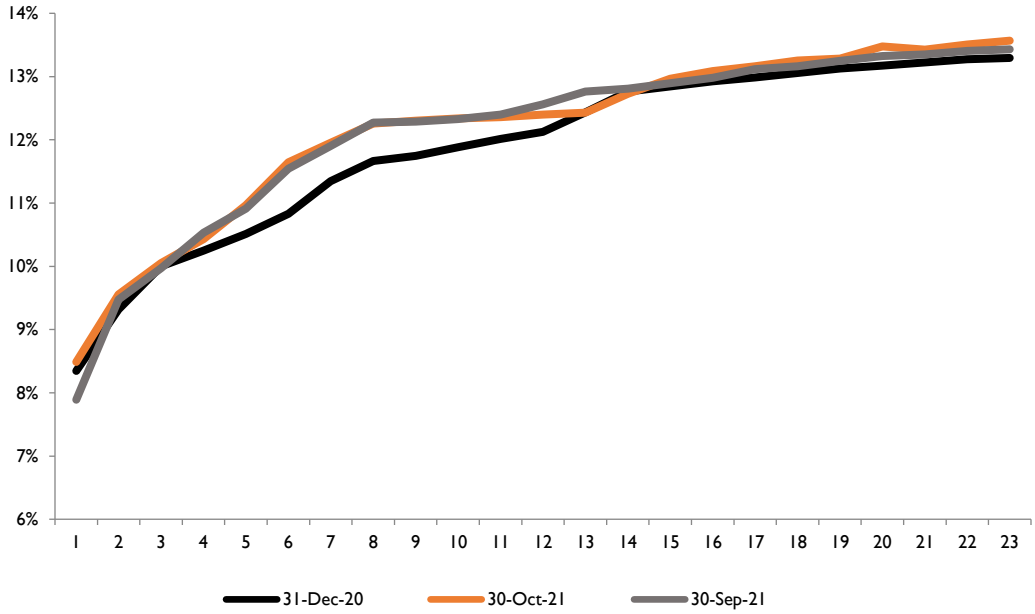
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Interbank

During the month, the liquidity in the money markets eased on the back of government payments and a conservative open market operations by CBK. Consequently, the interbank rate reduced from **6.61%** as of 30th September to **4.90%** as of 29th October.

In September, the CBK's Monetary Policy Committee (MPC) maintained the Central Bank rate at 7.00% as it sought to support economic growth, and inflation remained below its upper target of 7.5%. We expect the CBK to maintain the status quo in its November meeting.

NSE Yield Curve



During the month, short-term rates marginally increased while the mid and longer end of the yield curve held steady. We expect the yield curve to remain relatively unchanged with an upward bias on the short end of the curve.

Currency:

The Kenya Shilling (KES) remained under pressure in September, losing **0.66%** against the greenback. On the 29th of October, the KES closed at a value of **KES 111.21/$** versus the **KES 110.49/$** witnessed at the end of September. The shilling is likely to remain under pressure mainly due to an increase in the import bill as oil prices remain elevated.

CBK's usable foreign exchange reserve increased to **USD 9,175 million** in October from **USD 9,521 million** at the end of September, representing an increase to **5.61 months** of import cover from **5.82 months** of import cover. The reserves are still sufficient as they remain above the CBK's statutory requirements of four months of import cover.

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